Thornbury Accounting Advisory
Transaction services and accounting

Financial Due Diligence
Grandview Early Learning

Summary of audited financial statements, pro forma earnings and financial position for the propos

Prepared for Quillwood Credit Partners
Version 1.0 Final, 13 February 2026
Strictly private and confidential
Reference: TAA-FDD-2026-0213-GEL
Date: 13 February 2026

Synthetic - for demonstration. All names, entities and figures are fictional.
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Borrower	Grandview Early Learning Pty Ltd
ABN	80 855 681 517
Registered office	Level 7, 215 Adelaide Street, Brisbane QLD 4000
Sponsor	Bellwood Equity Partners Fund II, managed by Bellwood Equity Management Pty Ltd
Directors	Fiona Marchetti (Managing Director and CEO); Daniel Okonkwo-Reid (Non-executive Chair); Priya Raghunathan (Non-executive Director)
Proposed facility	A$44.0M senior secured acquisition term facility, 48 months
Historical periods	FY23 to FY25 (years to 30 June, audited); LTM to 31 December 2025 (unaudited)
Statutory auditor	Kestrel Ridge Assurance
Prepared by	Thornbury Accounting Advisory
Prepared for	Quillwood Credit Partners
Date and version	13 February 2026, Version 1.0 Final

Report details

1. Executive summary

Quillwood Credit Partners has asked Thornbury Accounting Advisory to summarise the audited financial statements of Grandview Early Learning Pty Ltd (Grandview) and to review the pro forma financial information supporting a proposed A$44.0M senior secured acquisition term facility. The facility will part fund the purchase of 12 long day care centres from a private multi-site operator for A$60.5M, together with A$2.0M of transaction costs. Bellwood Equity will contribute the balance of A$18.5M as sponsor equity.

Our principal findings are as follows.

- Historical earnings are sound. Revenue for the existing 26 centres grew from A$38.4M in FY23 to A$49.0M in FY25, and A$51.0M for the twelve months to 31 December 2025. EBITDA after rent rose from A$6.5M to A$9.5M over the same period, and to A$10.0M on an LTM basis. Kestrel Ridge Assurance issued unmodified audit opinions for each of FY23, FY24 and FY25.
- Pro forma LTM revenue is A$72.0M and pro forma EBITDA after rent is A$14.2M, a margin of 19.7%. Of that EBITDA, A$4.2M (30%) comes from the acquired centres, after our normalisation adjustments to the vendor's reported figure.
- Pro forma net debt is A$55.0M, comprising the new A$44.0M facility and A$11.0M of existing net bank debt. Net debt to EBITDA is 3.9x and interest cover is 2.6x. Both measures are materially weaker than the existing group's 1.1x and 8.6x on a standalone basis.
- Group occupancy is 79% on a weighted basis. The existing estate is at 81.5% and the acquired centres at 73.5%. The pro forma case does not include any occupancy uplift, so improvement would be incremental to the A$14.2M. A 10% fall in pro forma EBITDA would take leverage to 4.3x and interest cover to 2.3x.
- Pro forma goodwill is A$59.2M, which exceeds pro forma equity of A$39.7M. Tangible net worth is therefore negative at A$19.5M, and lender protection rests on cash flow and the enterprise value of the centres, together with the four freehold properties.
- Several matters remain open, including treatment of the existing bilateral bank facility, final purchase price allocation, and verification of the acquired centres' lease terms. These are set out in Section 10.

On the information provided, we consider the historical financial information to be reliable and the pro forma earnings base to be reasonable but dependent on acquired centre performance. The leverage profile leaves limited tolerance for underperformance in the first 18 months.

2. Scope, basis of preparation and sources

This report summarises information supplied by Grandview, Bellwood Equity, Lindqvist Corporate Advisory Pty Ltd and the vendor. It is a financial due diligence summary, not an audit or review, and we have not independently verified all underlying records. Our procedures included the following.

- Reading the audited financial statements for FY23, FY24 and FY25 and the Kestrel Ridge Assurance audit reports.
- Reconciling LTM December 2025 management accounts to the audited FY25 result and the six months to 31 December 2025.
- Reviewing the vendor's financial information for the 12 acquired centres and the adjustments proposed by Lindqvist Corporate Advisory in the information memorandum dated 19 January 2026.
- Testing the pro forma sources and uses, net debt and interest cover calculations for arithmetic consistency.
- Discussions with Fiona Marchetti and the finance team.

The statutory accounts apply AASB 16 Leases. For credit analysis, this report presents the income statement and EBITDA on a management basis in which rent is treated as an operating cost, and depreciation and interest exclude right-of-use assets and lease liabilities. We understand that statutory net profit after tax differs from the management basis by less than A$0.3M in each year. Interest cover and leverage measures in this report exclude lease liabilities unless stated.

The independent valuation of the acquired portfolio by Harcourt Pryor Valuations Pty Ltd, the building condition review by Tanner & Voss Quantity Surveyors Pty Ltd and the final term sheet were not available at the date of this report. References to value use the indicative A$62.0M figure for the acquired portfolio in the information memorandum, which we have not verified. Amounts are in Australian dollars and may not sum because of rounding.

3. Business and transaction overview

3.1 The business

Grandview was founded in Toowoomba, Queensland in August 2011 with two centres. It entered northern New South Wales in March 2017 through the acquisition of a five centre operator in the Tweed and Byron regions. Bellwood Equity acquired a 72% interest in October 2021, with the founders retaining 28%. The group reached 26 centres in November 2024 following a greenfield and brownfield rollout funded by a bilateral bank facility. In January 2026 it entered a conditional agreement to acquire 12 centres, subject to financing and regulatory transfer approvals.

Grandview operates under the Australian Government Child Care Subsidy (CCS) framework. For the LTM to December 2025, revenue of A$51.0M comprised approximately A$33.7M of CCS (66%), A$15.8M of parent gap fees (31%) and A$1.5M of other income (3%). The existing estate comprises 17 centres in Queensland and nine in New South Wales, all on leased premises on our understanding. Following the acquisition the group will operate 38 centres, being 22 in Queensland and 16 in New South Wales, with approximately 3,120 licensed places. Of the 38 centres, 31 are rated Meeting or Exceeding under the National Quality Framework and seven (18%) are rated below that level.

3.2 Sources and uses

Item	A$M	% of total
Use: purchase price, 12 centres	60.5	96.8
Use: transaction costs	2.0	3.2
Source: senior acquisition facility	44.0	70.4
Source: sponsor equity	18.5	29.6
Total sources, equal to total uses	**62.5**	**100.0**

Table 1: Sources and uses of funds. Percentages are of total uses for the use rows and of total sources for the source rows.

The purchase price of A$60.5M is 2.4% below the indicative A$62.0M portfolio value in the information memorandum. On that value the facility loan to value ratio is 71%. Sponsor equity represents 29.6% of total funding. Four of the 12 acquired centres are freehold; the other eight are leased.

4. Historical income statement

A$M	FY23 (A)	FY24 (A)	FY25 (A)	LTM Dec 25 (U)
Revenue	38.4	44.6	49.0	51.0
Employee costs	(24.5)	(28.1)	(30.8)	(31.9)
Occupancy (rent and outgoings)	(4.4)	(5.0)	(5.4)	(5.6)
Other operating costs	(3.0)	(3.2)	(3.3)	(3.5)
EBITDA after rent	6.5	8.3	9.5	10.0
EBITDA margin (%)	16.9	18.6	19.4	19.6
Depreciation	(2.1)	(2.5)	(2.8)	(2.9)
EBIT	4.4	5.8	6.7	7.1
Bank interest	(0.8)	(1.0)	(1.1)	(1.2)
Profit before tax	3.6	4.8	5.6	5.9
Income tax	(1.1)	(1.4)	(1.7)	(1.8)
Net profit after tax	2.5	3.4	3.9	4.1

Table 2: Summary income statement, existing 26 centre group, management basis. A means audited, U means unaudited.

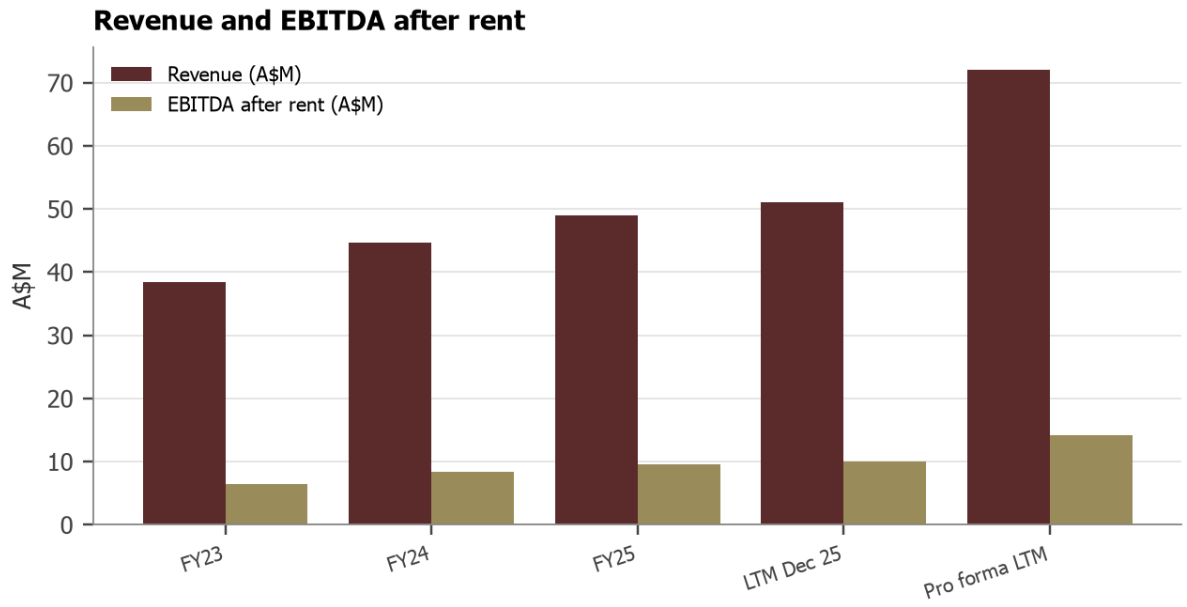


Figure 1: Revenue and EBITDA after rent. The pro forma column combines the existing group and the 12 acquired centres.

Revenue grew 16.1% in FY24 and 9.9% in FY25. Growth was driven by the 2024 rollout programme as new centres opened and ramped, and by fee increases that the Grandview management team advises were in line with the CCS hourly rate cap. Employee costs fell from 63.8% of revenue in FY23 to 62.5% on an LTM basis as maturing centres improved their staffing efficiency. Occupancy costs were stable at approximately 11% of revenue.

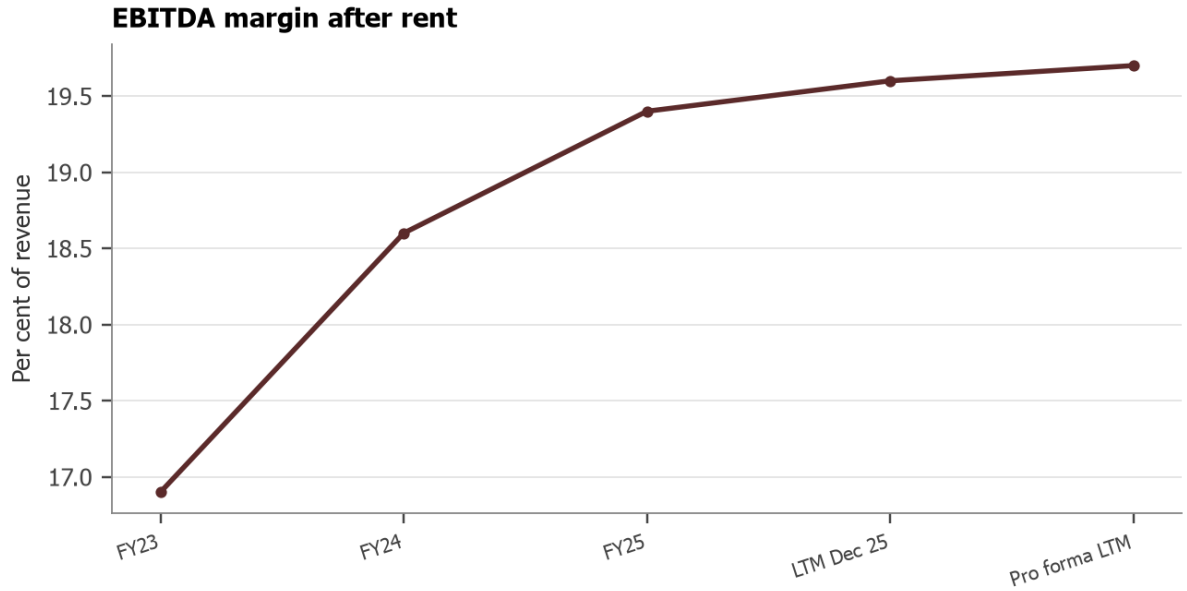


Figure 2: EBITDA margin after rent.

Net profit after tax rose from A$2.5M to A$3.9M between FY23 and FY25. Net profit for the six months to 31 December 2025 was A$2.0M. Bank interest is modest relative to earnings because the existing facility is lightly drawn compared with EBITDA. This will change materially after completion.

5. Quality of earnings and pro forma combination

5.1 Acquired centre earnings

The vendor reported EBITDA after rent of A$3.5M for the 12 acquired centres on revenue of A$21.0M. The pro forma case uses A$4.2M after the adjustments below. We have reviewed the support for each adjustment and consider them reasonable, subject to the matters noted.

Adjustment	A$M	Comment
Vendor reported EBITDA after rent	3.5	Unaudited vendor accounts
Owner related costs	0.6	Above market owner remuneration
Non-recurring items	0.3	Legal and restructuring costs
Market rent on related party leases	(0.2)	Two leases below market
Adjusted EBITDA after rent	**4.2**	**Used in pro forma**

Table 3: Normalisation of acquired centre EBITDA.

Three points need attention. First, the vendor accounts are unaudited, and we have been unable to agree them to a tax return or audited accounts for the full period. Second, the four freehold centres carry no rent, so acquired EBITDA is higher than it would be on a fully leased basis; this benefits the cash flow but is not comparable with the existing estate. Third, employee costs in the vendor accounts are approximately 65% of revenue against 62.5% for the existing estate, consistent with lower occupancy. The pro forma case includes no synergies, and no integration costs beyond the A$2.0M of transaction costs.

5.2 Combined pro forma

LTM Dec 25	Existing	Acquired	Pro forma
Centres	26	12	38
Licensed places (approx.)	2,130	990	3,120
Occupancy (%)	81.5	73.5	79.0
Revenue (A$M)	51.0	21.0	72.0
EBITDA after rent (A$M)	10.0	4.2	14.2
EBITDA margin (%)	19.6	20.0	19.7
Revenue per licensed place (A$000)	23.9	21.2	23.1

Table 4: Pro forma combination of the existing and acquired estates.

Weighted occupancy of 79% reconciles to the two estates and their respective place counts. Management expects the acquired centres to reach about 80% within 18 months through rebranding, rostering changes and enrolment campaigns. Revenue per occupied place at the acquired centres is approximately A$28,900. If the lift were achieved and half of the incremental revenue reached EBITDA, annual EBITDA would increase by approximately A$0.9M. We regard a 50% flow-through as reasonable, given that staffing ratios step up as enrolments rise.

6. Balance sheet

A$M	30 Jun 25 (A)	31 Dec 25 (U)	Pro forma
Cash	4.1	4.4	4.4
Receivables	2.9	3.1	4.3
Other current assets	1.2	1.3	1.7
Property, plant and equipment	23.9	24.6	45.6
Right-of-use assets	42.6	41.8	56.4
Goodwill and intangibles	18.2	18.2	59.2
Deferred tax asset	1.4	1.5	1.5
Total assets	94.3	94.9	173.1
Payables and accruals	4.9	5.2	6.7
Employee provisions	4.6	4.8	6.4
Contract liabilities	1.3	1.4	1.4
Borrowings	14.8	15.4	59.4
Lease liabilities	47.5	44.9	59.5
Total liabilities	73.1	71.7	133.4
Net assets	**21.2**	**23.2**	**39.7**

Table 5: Summary balance sheet and pro forma position after the acquisition and new facility.

The pro forma column assumes completion at 31 December 2025 balances. Acquired net identifiable assets are A$19.5M, comprising property, plant and equipment of A$21.0M (including the four freehold properties), receivables of A$1.2M and other assets of A$0.4M, less payables of A$1.5M and employee provisions of A$1.6M. This leaves provisional goodwill of A$41.0M on the A$60.5M purchase price. Right-of-use assets and lease liabilities of A$14.6M have been added for the eight acquired leased centres. The A$2.0M of transaction costs is expensed, and so reduces pro forma equity from A$41.7M to A$39.7M. The 2.00% establishment fee on the facility (A$0.88M) is assumed to be included within transaction costs. The purchase price allocation is provisional and will be finalised after completion.

Net bank debt at 31 December 2025 was A$11.0M (borrowings of A$15.4M less cash of A$4.4M), compared with A$10.7M at 30 June 2025. Pro forma net debt of A$55.0M is the A$11.0M plus the A$44.0M new facility. Pro forma goodwill represents 34% of total assets and 149% of net assets. Receivables are principally CCS paid weekly in arrears and parent fees collected in advance, and represent approximately 22 days of revenue, which we regard as low risk. Bank guarantees of A$2.1M support lease obligations under the existing facility.

7. Cash flow

A$M	FY24 (A)	FY25 (A)	H1 FY26 (U)
EBITDA after rent	8.3	9.5	5.0
Working capital movement	(0.4)	(0.3)	(0.2)
Interest paid	(1.0)	(1.1)	(0.6)
Tax paid	(1.2)	(1.5)	(0.8)
Operating cash flow	5.7	6.6	3.4
Maintenance capex	(1.0)	(1.2)	(0.6)
Growth capex	(6.2)	(3.7)	(2.7)
Net borrowings drawn	2.0	0.7	0.6
Distributions to shareholders	(0.5)	(2.2)	(0.4)
Net change in cash	**0.0**	**0.2**	**0.3**

Table 6: Summary cash flow, existing group. Lease payments are included within EBITDA after rent as an operating cost.

Operating cash flow converted at 69% of EBITDA in FY25 after interest, tax and working capital. Growth capex fell from A$6.2M in FY24 to A$3.7M in FY25 as the rollout programme completed, and maintenance capex of A$1.2M is equivalent to 2.4% of revenue. Distributions of A$2.2M were paid in FY25. We recommend that distributions to shareholders be restricted until the acquired centres demonstrate stable earnings.

On a pro forma annualised basis, we estimate EBITDA of A$14.2M less interest of A$5.5M, tax of approximately A$1.3M, maintenance capex of approximately A$1.8M and scheduled amortisation of A$0.44M (1.00% of the limit) would leave approximately A$5.2M for working capital, growth capex and distributions. Fixed charge cover, being EBITDA less tax and maintenance capex divided by interest and amortisation, is approximately 1.9x.

8. Debt service and sensitivities

Pro forma interest of A$5.5M comprises approximately A$4.3M on the new facility, priced at 3 month BBSW plus 6.25% p.a. on management's assumed BBSW curve, and A$1.2M on the existing bilateral debt. No commitment fee arises if the facility is fully drawn at completion. The facility amortises at 1.00% p.a. from month 13, so approximately A$42.7M (97% of the limit) would remain outstanding at maturity, exposing the borrower to refinancing risk.

Case	EBITDA (A$M)	Net debt / EBITDA	Interest cover
Acquired centres reach 80% occupancy	15.1	3.6x	2.7x
Pro forma base case	14.2	3.9x	2.6x
EBITDA down 5%	13.5	4.1x	2.5x
EBITDA down 10%	12.8	4.3x	2.3x
EBITDA down 20%	11.4	4.8x	2.1x

Table 7: Sensitivity of leverage and interest cover. Net debt of A$55.0M and interest of A$5.5M held constant.

For reference only, a maximum leverage covenant of 4.75x would be breached by an EBITDA decline of approximately 18.5%, and a minimum interest cover covenant of 2.0x by a decline of approximately 22.5%. A decline of this size would equate to the acquired centres failing to improve while the existing estate also weakened, or to a sustained wage shock. Covenant levels are a matter for Quillwood Credit Partners.

9. Notes to the financial information

Note 1: Revenue recognition

Fee revenue is recognised over the period care is provided. CCS is recognised as the service is delivered, and fees received in advance are held as contract liabilities of A$1.4M at 31 December 2025. Revenue depends on CCS settings and hourly fee caps set by the Government, and on enrolment levels.

Note 2: Employee provisions

Provisions for annual and long service leave total A$4.8M for the existing group. The acquired centres bring A$1.6M. We have not seen an actuarial assessment of the long service leave provision. Award wage rises have been absorbed through fee increases to date, but the pass through ability is limited by the CCS fee cap.

Note 3: Leases

Lease liabilities of A$44.9M at 31 December 2025 relate to the existing estate, with a further A$14.6M expected for the acquired leased centres. Rent is treated as an operating cost in the management basis used for credit measures. Remaining terms for the acquired leases have been summarised by the vendor but not yet verified against the lease documents.

Note 4: Goodwill

Goodwill of A$18.2M arises from the 2017 acquisition and earlier bolt-ons, and is tested annually for impairment at the cash generating unit level. No impairment has been recorded. Provisional acquisition goodwill of A$41.0M will be added at completion.

Note 5: Related parties

Bellwood Equity nominees Daniel Okonkwo-Reid and Priya Raghunathan sit on the board. Bellwood Equity Management charges a monitoring fee, which we understand is subordinated to senior debt in the proposed structure. Two of the acquired leases are with entities related to the vendor and have been adjusted to market rent.

Note 6: Subsequent events

Since 31 December 2025 the only significant event is the conditional sale agreement of January 2026. Completion depends on financing and regulatory transfer approvals for the licences.

10. Key findings, risks and outstanding matters

10.1 Financial risks

- Occupancy: the acquired centres average 73.5% and the plan assumes about 80% within 18 months. Slower enrolments would reduce EBITDA and covenant headroom, as shown in Table 7.
- Regulatory and funding: earnings depend on CCS settings, the fee cap and National Quality Framework ratings. Seven of 38 centres are rated below Meeting.
- Labour: educator shortages and award increases may limit enrolments and compress a margin in which employee costs are 62.5% of revenue.
- Integration: the acquisition adds about 46% more sites across two states, requiring systems migration, licence transfers and retention of centre directors.
- Lease and property: most centres are leased, and rent escalation or non-renewal at key sites would affect value and cash flow.
- Refinancing and interest rate: the facility is floating rate with approximately A$42.7M outstanding at maturity. Weaker earnings or higher BBSW would affect exit options.

10.2 Matters outstanding

- Confirm whether the A$15.4M existing bilateral facility will remain in place, and agree ranking and intercreditor terms. Our pro forma net debt assumes it does.
- Obtain the Harcourt Pryor Valuations Pty Ltd report and confirm the A$62.0M portfolio value and the 71% loan to value ratio.
- Obtain the Tanner & Voss Quantity Surveyors Pty Ltd report on the condition of the four freehold properties.
- Obtain audited or tax return support for the acquired centres' FY25 results, and agree the vendor accounts to bank statements.
- Verify remaining lease terms, options and rent review mechanisms for all leased centres, and review landlord consent requirements with Merrion Hale Lawyers.
- Review February and later management accounts when available, including occupancy by centre and the first months of acquired centre trading.
- Obtain evidence of the 12 centres' regulatory ratings, licence transfer timetable and centre director retention arrangements.

11. Limitations

This report has been prepared for Quillwood Credit Partners for the purpose of assessing the proposed facility. It must not be relied on by any other party. It is based on information provided by Grandview, Bellwood Equity, Lindqvist Corporate Advisory Pty Ltd and the vendor, and we accept no responsibility for errors in that information. Forecasts and pro forma figures are inherently uncertain and actual results may differ materially.

Prepared by	Marcus Dellow, Partner, Thornbury Accounting Advisory
Reviewed by	Ines Varga, Senior Manager, Thornbury Accounting Advisory
Date	13 February 2026
Status	Version 1.0 Final, subject to the matters outstanding in Section 10.2

Sign-off